

STTAURX

Tokenomics Review

Founders Decision Document

Key Decision Required: Should STTAURX include traditional crypto allocation mechanisms (pre-mine, team tokens, investor tokens, airdrops)?

Recommendation: No token allocations. Use equity for team/investors, fee incentives for users. Every token must be backed by user-deposited gold.

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1. Token Basics

Attribute	Value	Notes
Name	STTAURX Gold	Or "AU Gold Block"
Symbol	GOLD / STTAURX	To be confirmed
Backing	1 token = 1 gram gold	HSBC custody
Supply Model	Dynamic (mint/burn)	Based on gold deposits
Decimals	18	Standard divisibility
Max Supply	None (unlimited)	Grows with deposits

2. The Core Difference: Gold-Backed vs Typical Crypto

	Typical Crypto	Gold-Backed (STTAURX)
Token Value	Speculative	Physical gold
Giving Away Tokens	\$0 cost	Giving away gold
Creating New Tokens	Free (just code)	Requires buying gold
Backing Requirement	None	100% gold reserves

Implication: Traditional crypto allocation mechanisms don't translate directly. Every token given away = real gold given away.

3. Allocation Mechanisms Analysis

3.1 Pre-Mine

Decision	Reasoning
■ NO	Every token needs gold backing. Pre-mining = buying gold with company funds. Defeats "user deposit = user's go

3.2 Team Allocation

Arguments FOR:

- Team should have 'skin in the game'
- Aligns incentives with token success
- Standard for attracting talent

Arguments AGAINST:

- Every token needs gold = company must BUY gold for team
- Could look like 'insiders getting free gold'
- Undermines '100% user-backed' claim

Decision	Alternative
■ No Token Allocation	■ Equity in company instead. Team gets shares, not gold tokens. Or: profit-sharing from platform fees.

3.3 Investor Tokens

Arguments FOR:

- Need capital to build platform
- Investors want token exposure

Arguments AGAINST:

- 'Discounted tokens' = someone got gold cheaper
- Could trigger securities regulations
- Undermines fair pricing narrative

Decision	Alternative
■ No Discounted Tokens	■ Raise via equity investment. Convertible notes → equity. Investors can buy tokens at full price like ev

3.4 Airdrops

Why NOT for Gold-Backed:

- Airdrop = giving away real gold value
- Extremely expensive marketing
- Attracts mercenaries, not long-term users

Instead of Airdrops	Use These Alternatives
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Free tokens	Fee rebates (reduced fees for early users)
Free tokens	Referral bonuses (fee credits, not tokens)
Free tokens	Boosted staking APY (6% first 90 days)
Free tokens	Zero mint fee for first \$1,000 deposit

4. What You DO Need to Pre-Fund

Even without allocations, the platform needs tokens for operations:

Purpose	Why Needed	Source
Liquidity Pools	Marketplace needs buy/sell liquidity	Company purchases gold
Staking Reward Pool	Fund the 5% APY	Platform fees + initial capital
Emergency Reserve	Handle redemption spikes	Company purchases gold

5. CRITICAL: Where Does 5% APY Come From?

■ This is the most important question for the whitepaper and regulatory compliance.

Possible Yield Sources:

Source	How It Works	Sustainability
Platform Fees	Trading/transfer fees redistributed to stakers	■ Sustainable
Gold Lending	Institutions borrow gold, pay interest	■ Sustainable
Treasury Yield	Company invests reserves conservatively	■ Sustainable
Company Subsidy	Company pays from operating budget	■ Not sustainable

Action Required: Define the yield source clearly before whitepaper publication. Regulators will ask this question.

6. Proposed Fee Structure

Action	Proposed Fee	Recipient	Notes
Minting	0.5%	Platform	One-time on deposit
Transfer	0.1%	Platform	Peer-to-peer sends

Redemption	1.0%	Platform + HSBC	Covers custody/logistics
Marketplace Trade	0.25%	Platform	Buy/sell on marketplace
Staking Withdrawal	0%	-	No penalty

Competitive Note: PAXG charges 0.02% transfer fee. Consider if 0.1% is competitive.

7. Final Recommendations Summary

Item	Recommendation	Reason
Pre-mine	■ No	Doesn't fit 1:1 backing model
Team Allocation	■ No tokens ■ Yes equity	Team gets company shares, not gold
Investor Tokens	■ No discounts ■ Equity raise	Raise capital via equity, not tokens
Airdrops	■ No	Use fee incentives instead
Liquidity Pool	■ Yes, company-funded	Required for marketplace
Staking Rewards	■ Yes, from fees	Must define sustainable source

8. Proposed Whitepaper Statement

"Unlike speculative cryptocurrencies, STTAURX tokens are not pre-mined, allocated to insiders, or distributed via airdrops. Every token in circulation represents real gold deposited by real users. The platform maintains operational liquidity through company-purchased reserves, and staking rewards are generated from platform transaction fees—not token inflation."

9. Open Questions for Founders

1. Token Symbol: GOLD vs STTAURX vs something else?
2. Yield Source: What specifically generates the 5% APY?
3. Fee Levels: Are the proposed fees competitive?
4. Redemption: Minimum amount? Timeline? Physical delivery options?
5. Staking: Lock-up period? Minimum stake? Distribution frequency?
6. Multi-Asset: Separate tokens per metal, or basket approach?
7. Governance Token: Separate utility token planned, or just GOLD?

